

themselves someday. Parents must make their own decisions about what to spend on holiday and birthday presents. But your family budget shouldn't be a thing of mystery. When planning finances and setting aside money for special occasions and shared purchases, include the kids as soon as possible. When they start to understand what money is, they should also begin to learn about spending and saving as well. Don't offer to pay the difference for things they can't quite afford yet, or you'll undo all the lessons you're trying to teach.

4. Does your child offer to do chores and jobs around the house in exchange for money or extra allowance (if you're already tying chores to money)?

I don't like equating money with doing work around the house that should be done by members of the family at no cost. When we gave our kids money, it wasn't tied to taking out the garbage or picking up after themselves. If there was work to do around the house, it was done. An allowance was separate. What happens when you tie chores to money is you also make it possible for kids to get lazy and forgo cash in order to skip vital tasks. *"I don't feel like walking the dog today, so take it off my allowance."* As a parent, that leaves you without a powerful bargaining chip. If you want to give your children an allowance, make it consistent. When they're around seven years old and learning to reason, begin to show them how (and why) to set aside a certain amount in savings. Show them how to budget their money so it lasts. And help them make smarter purchases.

5. Has your child ever compared your house, car, or belongings to those of your wealthier neighbor or friend?

Even though I grew up all over the world in very different socioeconomic environments, I was never made aware that we had more than the children we played with in Cambodia, Cyprus, Ethiopia, Switzerland, or Tunisia. George and my mother encouraged us to hang with the local children, and not just other so-called diplomatic brats. That had a way of blurring